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through partnership

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Federal Trade Commission
Office of the Secretary
600 Pennsylvania Avenue NW
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Washington, DC 20580

Subject: Comments to Trade Regulation Rule on the Use of Reviews and Endorsements (16 CFR Part 461) – Reviews and Endorsements ANPR, P214504

The Association of National Advertisers (“ANA”) respectfully submits these Comments in response to the request by the Federal Trade Commission (“FTC” or “Commission”) for public comments on the FTC’s proposed Advance Notice of Proposed Rulemaking (“ANPR”) on a Trade Regulation Rule on the Use of Reviews and Endorsements.¹

ANA’s mission is to drive growth for marketing professionals, for brands and businesses, and for the industry. Growth is foundational for all participants in the advertising and marketing ecosystem. ANA’s membership consists of more than 1,600 domestic and international companies, including over 1,000 client-side marketers and nonprofit fundraisers, and 600 marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). Collectively, ANA member companies represent 20,000 brands, engage 50,000 industry professionals, and invest more than \$400 billion in marketing and advertising annually.

ANA is in favor of preserving the integrity of consumer reviews. Our members are committed to ensuring that reviews are valid and genuine so that fake reviews do not permeate the industry. ANA members have instituted numerous practices, including monitoring programs, in light of guidance provided and actions enforced by the FTC. ANA’s main concern with the present ANPR is its prematurity. In order to initiate rulemaking, the FTC must (1) demonstrate prevalence of unfair and deceptive acts or practices and (2) indicate a widespread pattern of unfair or deceptive acts or practices. The FTC has not demonstrated evidence of prevalence and has not identified a particular industry that would justify embarking upon rulemaking that would be sufficient, clear, narrowly tailored, easy to enforce, and not burdensome to

¹ See Request for Public Comment, 16 CFR Part 465 (Fed. Trade Comm’n Nov. 8, 2022) (“Comment Request”).

legitimate marketers. Because the FTC has not demonstrated evidence of the foregoing, it should pause its rulemaking efforts and, prior to continuing the rulemaking processes, consider and explore alternatives to rulemaking, as discussed herein. Moreover, the available alternatives to rulemaking (e.g., workshops and roundtables) are reasonable approaches to next steps and the FTC thereby may gain a better understanding of identified industries.

ANA is concerned that the FTC's advance notice of proposed rulemaking signals that it intends to abandon the iterative process of molding commercial behavior through enforcement, education, and cooperation with industry which is closest to the technical matters at issue, and instead to launch into expensive, time-consuming, formal rulemaking without any indication that it has obtained new empirical evidence that would help it formulate rules, let alone justify a one-size-fits-all rule. At this preliminary stage in the rulemaking process, ANA urges the FTC to (1) pause rulemaking until it has engaged in sufficient fact finding and analysis that may produce an empirical basis for imposing specific rules on an industry whose competing interests are complex and whose members generally are seeking the same level of transparency and accuracy as are consumers and the FTC; (2) finish its revision to the Guides Concerning the Use of Endorsements and Testimonials in Advertising ("Guides") prior to advancing a new rule and thereby give industry time to adjust and comply with the powerful incentive of FTC enforcement under Section 5 in the background; and (3) announce and plan a series of workshops and/or roundtables in 2023 that will help to establish a report that may provide the FTC with better information as to whether there exists a solid basis for the proposition that trade regulation rules backed by statutory monetary penalties are needed to enhance compliance, promote competition, and protect the integrity and transparency of advertising for consumers.

I. THE FTC LACKS EMPIRICAL EVIDENCE IN ORDER TO ENGAGE IN RULEMAKING

As discussed herein, ANA agrees that there are fake and deceptive reviews in the marketplace and appreciates the FTC's actions to prevent disingenuous reviews. However, the FTC has not presented evidence of the prevalence of unfair or deceptive reviews beyond anecdotal evidence and a few settlements. Further, the FTC has failed to identify a particular industry in order to demonstrate a widespread pattern of unfair or deceptive acts or practices. Therefore, it is premature to embark upon rulemaking.

A. Evidence of Prevalence of Unfair and Deceptive Practices

The FTC has failed to present empirical evidence surrounding the prevalence of unfair or deceptive reviews in the marketplace to justify rulemaking. Under the Magnuson-Moss Warranty – Federal Trade Commission Improvement Act, the FTC must “make a determination that unfair or deceptive acts or practices are prevalent,” and the FTC can make that determination if “information available to the FTC indicates a widespread pattern of unfair or deceptive acts or practices.”² Such rules and regulations are based on facts of which the FTC has knowledge derived from studies, reports, investigations, hearings, and other proceedings, or within official notice, concerning the substantive requirements of the statutes

² 15 U.S.C. § 57a(b)(3).

which it administers.³ The FTC must engage in its usual fact-finding in order to better understand the pervasiveness of deceptive or false reviews. For example, before enacting the Eyeglass Rule, the FTC engaged in studies of industry behavior, which confirmed that states with restrictions on advertising had higher prices for eyeglasses than states without restrictions.⁴ By systematically engaging in these empirical studies in order to better evaluate the problem and its prevalence, the FTC was able to determine what kind of rule should be enacted (if at all). Thus far, the Commission has only attempted to identify issues with consumer reviews, without demonstrating the prevalence of such issues from affected parties. The Commission recognizes in its ANPR that it is still seeking comment on the prevalence of the practices that have been the focus of its enforcement activity and “the costs and benefits of a rule that would address them.”⁵ The FTC should follow its typical practices of fact-finding in order to illustrate ubiquitous deception prior to issuing a Notice of Proposed Rulemaking.

Throughout the ANPR, the Commission cites its own consent orders and stipulated settlements for reasons why it needs a rule to effectively prevent fraudulent reviews. In so doing, the FTC presents as examples of an industry-wide problem allegations that advertisers were engaged in deceptive acts. In other rulemaking procedures, the FTC has presented adjudicated cases. This was the case with the Business Opportunity Rule, for example, where the FTC “conducted more than 11 business opportunity sweeps, many with other federal and state law enforcement partners, to combat persistent business opportunity scams violating the Franchise Rule, such as those involving the sale of vending machines, rack displays, public telephones, Internet kiosks, and 900-number ventures, among others.”⁶ In rules such as the Business Opportunity Rule, the Commission found that fraud was “widespread, causing serious economic harm to consumers” through its developed rulemaking record. However, here, the Commission does not cite actually litigated cases, actual holdings or final decisions by a court. Asserted allegations and consent agreements are the *sole* way the Commission is presenting “prevalence.”

The FTC also makes a number of assumptions concerning consumer reviews, without evidence that supports these assumptions. For example, the FTC states “the sheer number of people engaged in fraudulent or deceptive reviews and endorsements makes them even more difficult to combat, especially given such content is often created by individuals or small companies, some of whom are located abroad.” There is no evidence of the sheer amount of people engaged in these practices. Reliance on anecdotal evidence and assumptions about prevalence is not the same as developing “systematic, quantitative, and

³ 16 C.F.R. § 1.22 (Lexis Advance through the Dec. 30, 2022 issue of the Federal Register, with the exception of the amendments appearing at 87 FR 80002).

⁴ See *Federal Trade Commission, Staff Report on Advertising of Ophthalmic Goods and Services and Proposed Trade Regulation Rule (16 CFR Part 456)* (May 1977), <https://www.ftc.gov/reports/staff-report-advertising-ophthalmic-goods-services-proposed-trade-regulation-rule-16-cfr-part-456>; *Rules Without Reason—The Case of the FTC*, Timothy J. Muris, AMERICAN ENTERPRISE INSTITUTE, <https://www.aei.org/articles/rules-without-reason-the-case-of-the-ftc/> (October 14, 1982).

⁵ Request for Public Comment, 16 CFR Part 465 (Fed. Trade Comm’n Nov. 8, 2022).

⁶ *Business Opportunity Rule*, FED. TRADE COMM’N, 71 FR 19053 (April 12, 2006), <https://www.federalregister.gov/documents/2006/04/12/06-3395/business-opportunity-rule>.

qualitative empirical evidence to address the extent of the problem it seeks to address, the forces that cause the problem or the reasons that prevent a market resolution, and the efficacy of the proposed remedy.”⁷

Prevalence should be shown through a “deep understanding of why a practice occurs, the circumstances in which it is used, and the precise conditions under which the practice helps or harms consumers in different situations.”⁸ The FTC traditionally has thoroughly developed and presented evidence of prevalence of consumer harm prior to embarking on rulemaking procedures. For example, through the Business Opportunity Rule, the FTC found that unfair and deceptive practices were widespread in the sale of franchises and business opportunities, causing serious economic harm to consumers (defendants in FTC cases alone caused tens of thousands of consumers to lose a total of more than \$100 million).⁹ Similarly, throughout the Funeral Rule proceedings, the Commission stated that consumers were presented with costly harms and the monetary injury to consumers from unnecessary purchase of these kinds of items can be “substantial” and cause “significant consumer injury,” as outlined through consumer complaints, consumer testimony, and litigated cases.¹⁰ Last year, the Commission released an ANPR on Deceptive or Unfair Earnings Claims and noted the “significant” financial consequences for consumers, resulting in hundreds of millions of dollars of alleged consumer harm which resulted from this prevalent deception.¹¹

To be clear, ANA does not take the position that fake reviews may not produce economic injury; however, the FTC has not developed or presented evidence of consumer harm, as it has typically done. Finding evidence of economic injury may not be proof of the cause of such injury. For instance, it is deceptive to fail to disclose that reviewers were company employees.¹² However, the FTC should engage in fact-finding to better understand the *actual* harm of false or deceptive reviews in context (e.g., if a certain product has thousands of reviews, of which twenty are false, what is the harm to consumers or is there a certain threshold that is necessary to cause harm). As the ANPR acknowledges, redress in matters involving deceptive reviews can be difficult to ascertain or calculate. The FTC has not presented that deep understanding, demonstrated the conditions in which the practices it mentions harm consumers, or identified materiality of suggested harms. Given the lack of quantitative and qualitative evidence about

⁷ *Rules Without Reason—The Case of the FTC*, Timothy J. Muris, AMERICAN ENTERPRISE INSTITUTE, <https://www.aei.org/articles/rules-without-reason-the-case-of-the-ftc/> (October 14, 1982).

⁸ *Back to the Future: How Not to Write a Regulation*, Timothy J. Muris and J. Howard Beales, AMERICAN ENTERPRISE INSTITUTE (May 26, 2022), [aei.org/research-products/report/back-to-the-future-how-not-to-write-a-regulation/](https://www.aei.org/research-products/report/back-to-the-future-how-not-to-write-a-regulation/).

⁹ See, e.g., FTC News Release: Criminal and Civil Enforcement Agencies Launch Major Assault Against Promoters of Business Opportunity and Work-at-Home Schemes (Feb. 22, 2005) (available at <http://www.ftc.gov/opa/2005/02/bizoppflop.htm>).

¹⁰ *Amended Funeral Rule Statement of Basis and Purpose*, 59 FR 1592 (Jan. 11, 1994).

¹¹ Deceptive or Unfair Earnings Claims, FED. TRADE COMM’N (MARCH 11, 2022) (<https://www.federalregister.gov/documents/2022/03/11/2022-04679/deceptive-or-unfair-earnings-claims#footnote-23-p13952>) (“The financial consequences of this deception for consumers are significant”. See, e.g., *FTC v. OTA Franchise Corp.*, No. 8:20-cv-287 (filed C.D. Cal. 2020) (alleging consumer harm of over \$370 million); *FTC v. Neora, LLC*, No. 3:20-cv-1979 (filed D.N.J. 2019, transferred N.D. Tex.) (alleging consumer harm of over \$120 million); *FTC v. Mobe*, No. 6:18-cv-862, Dkt. No. 257, *Renewed Motion for Default Judgment*, at 5 (filed M.D. Fla. 2018) (alleging consumer harm of over \$318 million); *FTC v. The Tax Club, Inc.*, No. 13-cv-210 (filed S.D.N.Y. 2016) (alleging consumer harm of over \$200 million). Individual losses can be substantial; for example, tens of thousands of purchasers in the OTA Franchise matter each paid over \$10,000 for purported courses on how to make money trading in the financial markets.)

¹² *Sunday Riley Modern Skincare, LLC*, No. C-4729 (Nov. 6, 2020).

actual consumer injury, it is thoroughly premature to engage in rulemaking procedures. The FTC should explore, through intense fact-finding, how a given practice harms consumers in different situations and poses economic harm before proceeding.

B. Identification of a Particular Industry

The FTC has not presented any empirical evidence regarding how false and/or deceptive reviews affect a particular industry or the industry as a whole. ANA urges the FTC to engage in proper fact finding about how deceptive and false reviews affect a particular industry before contemplating the proposed rule. Prior to issuing a notice on proposed rulemaking, the FTC must narrowly tailor the rulemaking to a particular industry group and apply the rule to a specific population partaking in specific actions. For example, in the past, the FTC has effectively focused on specific industries under a proscribed regimen in order to initiate rulemaking. When developing the Business Opportunity Rule, the initial NPRM inadvertently swept in and covered acts by *all* multilevel marketers (MLMs).¹³ In response, the Commission received an overwhelming majority of comments from the multilevel marketing industry, which urged the Commission to narrow the scope of the proposed rule in order to not broadly sweep in MLMs throughout a variety of industry groups.¹⁴ Taking this into account, the FTC revised the NPRM and exempted multilevel marketing firms.¹⁵ In the case of the FTC's Funeral Rule, the FTC identified a prevalent problem in the specified funeral industry. The FTC focused on a particular industry group it found, through empirical evidence, was taking advantage of grieving family and friends confronted with decisions about a funeral, which must be made quickly and under emotional duress.¹⁶ In fact through an investigation which led the staff to conclude that more detailed examination of the *industry's* practices was warranted, the Commission was able to recommend the commencement of a rulemaking proceeding.¹⁷ These instances further exemplify the necessity to identify a particular industry engaging in harmful practices. If the FTC does not tailor its rulemaking to a particular industry, it runs the risk of broadly sweeping in a variety of industry groups. Rulemaking applies to well-defined populations, with requirements that apply in well-defined circumstances. At this point, the FTC has failed to identify that well-defined population and the how the acts and practices affect a particular industry.

C. Narrowly Tailoring the Rulemaking

Rulemaking is complicated and time-consuming, but the FTC has been successful when it proceeds with specificity and addresses the rulemaking with a narrow and identified set of prevalent harms. For instance, rules such as the Mail, Internet, or Telephone Order Merchandise Rule, Funeral Rule, and the Cooling Off Rule systematically targeted, tailored, and outlined specific issues in a given particular industry. Rules such as "Ophthalmic Goods" (Eyeglass Rule) and "Prescription Drugs," "seemed to move more swiftly and smoothly through all stages of the process" because they effectively identified the problems and harms

¹³ *Business Opportunity Rule*, FED. TRADE COMM'N, (March 26, 2009), <https://www.federalregister.gov/documents/2008/03/26/E8-6059/business-opportunity-rule>.

¹⁴ *Id.*

¹⁵ *Id.*

¹⁶ *Funeral Rule*, FED. TRADE COMM'N (Dec. 25, 2022), <https://www.ftc.gov/news-events/topics/truth-advertising/funeral-rule>.

¹⁷ *Amended Funeral Rule Statement of Basis and Purpose*, 59 FR 1592 (Jan. 11, 1994).

in the relevant industry.¹⁸ Additionally, the Do Not Call Registry Rule was quite broad and was quickly and substantially tailored to address problematic behavior.¹⁹ Narrowing and honing in on the particular issue allowed the FTC to save resources. Conversely, the Funeral Rule's adoption would have been much swifter if the FTC continued to conduct studies rather than making assumptions about the proper remedy. The FTC will be involved in a much more time-consuming process if it does not first identify the specific harms that are ripe for regulation. Hence, the ANA urges the FTC to pause its rulemaking process and establish the narrow set of issues in demonstrated circumstances and conditions before embarking on a Notice of Proposed Rulemaking.

Without specificity in what constitutes a violation of a rule, marketers may struggle to know how to best abide and be compliant. The Commission will receive much more helpful input from the industry if the Commission is clear about what acts and practices are in fact violations of the law. The summaries of the alleged problems with customer reviews listed in the ANPR are so broad and vague that legitimate advertising practices are at risk of being covered by a rule, and industry players will be less able to propose solutions because they will be busy protecting age-old, innocuous advertising practices. For example, the FTC, under Section 2 of the ANPR, cites numerous cases related to encouraging positive reviews. The FTC states "marketers offering compensation or other incentives in exchange for, or conditioned on, the writing of positive or negative consumer reviews" as an example of a problematic practice.²⁰ Specifically, the FTC cites the following issues: "giving an incentive for a review or endorsement and requiring that it be positive" (*Synovia*), "offered consumer endorsers with free product in exchange for 'especially positive and inspiring' reviews" (*Synovia*), "deceptively provided compensation for the posting of positive reviews on the BBB's website and other third-party websites" (*Urthbox*) "past customers were encouraged to submit reviews of respondent's services in order to be eligible for a \$100 'Best Monthly Review Award', given to 'the review with the most captivating subject line and best content' and that they should 'be creative and try to make your review stand out for viewers to read!'" (*AmeriFreight*). While the ANA agrees that some of the practices outlined in those cases are problematic and deceptive, there are legitimate marketing practices that the advertisers engage in (i.e., soliciting positive reviews) that are not categorically problematic. ANA urges the Commission to engage in more specificity of the actual violations of law in order to avoid unduly burdening and stifling legitimate business activities in the United States and to facilitate a more constructive rulemaking process.

¹⁸ *Back to the Future: How Not to Write a Regulation*, Timothy J. Muris and J. Howard Beales, AMERICAN ENTERPRISE INSTITUTE (May 26, 2022) at 26, [aei.org/research-products/report/back-to-the-future-how-not-to-write-a-regulation/](https://www.aei.org/research-products/report/back-to-the-future-how-not-to-write-a-regulation/).

¹⁹ Office of the Federal Register, National Archives and Records Administration, "Telemarketing Sales Rule," *Federal Register* 60, no. 30 (February 14, 1995): 8313–33 (original proposal); and "Telemarketing Sales Rule," *Federal Register* 60, no. 110 (June 8, 1995): 30406–28 (revised proposal).

²⁰ *Supra* Note 1 "The Commission has challenged giving an incentive for a review or endorsement and requiring that it be positive. See, e.g., Complaint at 14, 19-20, FTC v. A.S. Resch, LLC (*Synovia*), No. 1:19-cv-3423 (offered consumer endorsers with free product in exchange for "especially positive and inspiring" reviews); Complaint at 5-6, 8, *Urthbox, Inc.*, No. C-4676 (Apr. 3, 2019) (deceptively provided compensation for the posting of positive reviews on the BBB's website and other third-party websites); Complaint at 2-3, *AmeriFreight, Inc.*, No. C-4518 (Feb. 27, 2015) (every month past customers were encouraged to submit reviews of respondent's services in order to be eligible for a \$100 "Best Monthly Review Award", given to "the review with the most captivating subject line and best content" and that they should "be creative and try to make your review stand out for viewers to read!")."

To the extent the FTC proceeds in the rulemaking process, the FTC should exclude truthful incentivized positive reviews from satisfied customers from the acts or practices it finds to be a violation of law. There is a disconnect as to where consumer harm lies as it relates to activities such as review gating. Solicitation of positive reviews is prevalent in U.S. commerce. The suggestion of penalties for the *mere* solicitation of positive reviews demonstrates how far-reaching a societal change the FTC may be seeking in this ANPR. As noted in ANA’s 2022 Comments to the proposed changes to the Endorsement Guides, “review-gating” can be entirely pro-consumer and pro-competition if done correctly. Promoting business is pro-competition and does not itself raise any issues of deception or unfairness.

Moreover, creating a rule that deters, disallows, or initiates blanket prohibitions against offering happy customers an invitation to write a review is inherently anti-competitive and can be anti-small business. It would be counter-intuitive to force a marketer to ask a dissatisfied customer to write a review or “tell a friend” if the customer is unhappy with a product or service. A marketer can choose to reach out to a dissatisfied customer privately to ask how it can help, advance its products or services, and regain the customer’s trust. So long as the advertiser did not suppress or impede negative reviews, there is no inherent requirement that an advertiser refrain from offering a happy customer or engage in offering a dissatisfied customer a link to a review page. A rule that disallows and imposes literal prohibitions against these kinds of activities could transgress the First Amendment. With the potential for a broad and categorical rule, suppression of speech would be at the discretion of the Commission. The FTC’s attempt at review gating further corroborates that in imposing a rule, the FTC would be fundamentally transforming acceptable and well-established advertising practices. Regardless of whether the FTC continues to pursue rulemaking on consumer reviews, well-established practices of eliciting positive reviews from satisfied customers should not be an action that is targeted as deceptive.

II. ENGAGING IN THIS RULEMAKING MAY STEER THE FTC AWAY FROM ITS CURRENT EFFORTS

The FTC already has initiated a multi-pronged strategy to combat the issue of deceptive reviews, and rulemaking at this point may divert the FTC’s resources from other important endeavors. The FTC is already engaged in a revision of its Guides, which have established an entirely new set of guidance concerning customer reviews. The FTC also has published a companion business guidance document to accompany the Guides. The FTC stated in its ANPR that the Guides are not helpful in deterrence as they are not enforceable regulations. Actually, the Guides are useful and effective to advertisers in understanding how the FTC interprets Section 5 of the FTC Act across a variety of industries. The Guides can provide a wide range of examples to address diverse situations for advertisers and consumers.

The Commission also states in the ANPR that “truly bad actors will not be deterred by Commission guidance, but the possibility of substantial civil penalties changes the economic incentives and may provide greater deterrence as to both legitimate and bad actors.” The FTC notes that its remedial authority is limited, however, the FTC may continue to announce enforcement policies and initiate enforcement actions against bad actors in the industry under Section 5 of the FTC Act. An excellent example of where the Commission’s enforcement actions has been instrumental in protecting the marketing industry is the

Devumi case.²¹ In that case, the FTC took action against the defendants for posting fake reviews. ANA supports the FTC's commitment to protecting consumers while bolstering the advertising and marketing industry, thereby promoting growth and competition. Similarly, in conjunction with the *Fashion Nova* case, the FTC released helpful guidance for online retailers and review platforms to educate about the FTC's key principles for collecting and publishing fair and honest consumer reviews.²² Responsible advertisers represented by ANA understand how those actions communicate FTC enforcement priorities and they have adjusted their own actions accordingly, as appropriate. Bad actors remain and act with impunity, but as noted above, the FTC has not shown that the bad actions are endemic among legitimate marketers. It is excessive for the FTC to adopt a rule without demonstrating the prevalence of issues and while burdening so many legitimate marketers.

The Commission has made sure that legitimate marketers are aware of its enforcement priorities. In October 2021, the Commission issued a Notice of Penalty Offenses ("Notice") which enables the Commission to obtain civil penalties from marketers that use fake or deceptive endorsements or reviews.²³ In addition to the Notice, the FTC created multiple resources to guide businesses to ensure they are following the law when using endorsements to advertise services and products. In fact, Chair Khan described the Notices as unique tools to put companies on notice that certain practices are unlawful, where bad actors could face significant financial penalties.²⁴ It is unclear why, after utilizing significant resources to identify recipients, draft and serve the Notice, it is necessary to pursue rulemaking and waste other critical resources. These resources could be employed productively in cases against bad actors.

III. THE FTC SHOULD PROCEED WITH ALTERNATIVE APPROACHES TO ADDRESS ITS ISSUES

For the reasons discussed above, and with ANA's recognition that fake reviews are a legitimate area of regulatory focus, Commission should immediately proceed with alternatives to this rulemaking. The FTC should consider industry-specific workshops, panels, consumer education, business guidance/educational materials, and investigations to tackle this concern. These efforts are easier to obtain and inexpensive compared with the cost and resources spent in compiling a trade regulation rule that lacks information applicable to an entire industry.²⁵ In doing so, the FTC will be better equipped to address the issue as it relates to consumer reviews and endorsements. Through alternative approaches, the FTC can hear first-hand accounts of the issues consumers actually face.

²¹ *FTC v. Devumi, LLC*, FTC Case No. 9:19cv81419 (S.D. Fla. Oct. 18, 2019).

²² *Fashion Nova will Pay \$4.2 Million as part of Settlement of FTC Allegations it Blocked Negative Reviews of Products*, FED. TRADE COMM'N (January 25, 2022), <https://www.ftc.gov/news-events/press-releases/2022/01/fashion-nova-will-pay-42-million-part-settlement-ftc-allegations-it-blocked-negative-reviews>.

²³ *Penalty Offenses Concerning Endorsements*, FED. TRADE COMM'N (<https://www.ftc.gov/enforcement/penalty-offenses/endorsements>).

²⁴ Lina Khan, @linakhanFTC, <https://twitter.com/linakhanftc/status/1445816849430634496>. The Notice of Penalty Offenses for endorsements was issued on Oct. 13, 2021.

²⁵ *Rules Without Reason—The Case of the FTC*, Timothy J. Muris, AMERICAN ENTERPRISE INSTITUTE, <https://www.aei.org/articles/rules-without-reason-the-case-of-the-ftc/> (October 14, 1982).

A. Fact-Finding is More Typical Leading Toward FTC Rulemaking

The FTC should engage in its typical fact-finding before initiating or promulgating a trade regulation rule. In instances of developing other trade regulation rules, the FTC often engages in meaningful fact-finding to discover evidence in order to prompt the inquiry whether rulemaking is necessary. For example, prior to the Commission seeking comment on its Notice of Proposed Rulemaking related to the “Made in USA” (MUSA) Rule, the Commission engaged in meaningful fact-finding endeavors.²⁶ It noted that it “held a public workshop and collected public comments in support of a review of its MUSA program. Workshop participants and commenters discussed a variety of issues, including consumer perception of MUSA claims, concerns about the FTC’s current enforcement approach, and potential changes to the FTC’s MUSA program, including through rulemaking.”²⁷ The NPRM was preceded by a review of the FTC’s longstanding efforts to prevent deceptive MUSA claims, which included a 2019 public workshop, where stakeholders expressed nearly universal support for a rule addressing MUSA labels in order to promote clarity and certainty.²⁸

Similarly, the inception of the Do Not Call Registry Rule was quite broad and through surveys and workshops, the rule was focused to address problematic behavior that was revealed through empirical evidence.²⁹ Thus, the FTC usually engages in extensive analysis prior to embarking on rulemaking. However, here the Commission appears to be only thinking about those kinds of endeavors *after* commencing a rulemaking. It notes that it will *eventually* use workshop conferences to assist the Commission in drafting the rule and that it expects affected interests to assist it in analyzing various options involving the rule to develop the record and explore various alternatives.³⁰ These kinds of options should not be afterthoughts or public relations events to garner support for its new rule. The FTC should initiate bona fide fact-finding programs to better understand how consumers post reviews and how advertisers monitor their reviews. The FTC should continue to engage in its ordinary fact-finding endeavors before commencing rulemaking on consumer reviews.

Such surveys, roundtables, and workshops could supplement the FTC’s efforts by asking industry-specific questions about, among other things, how consumer reviews and endorsements vary across different industries and markets, as well as how consumer expectations and harm differ across sectors. For example, there is no evidence that consumer review deception is prevalent in all advertising sectors. This rulemaking would regulate the way customer reviews are conveyed to consumers across nearly every sector in the economy. Pausing the rulemaking to allow for inquiry as to areas of the economy in which there may be a prevalence of consumer injury related to fake reviews would be more cost-effective because then any proposed rule would be targeted and narrowly-tailored.

²⁶ See *Made in USA Labeling Rule*, 85 FR 43162 (proposed July 16, 2020) (to be codified at 16 CFR 323).

²⁷ *Id.*

²⁸ Transcript of Made in USA: An FTC Workshop (Sept. 26, 2019) at 63-72, <https://www.ftc.gov/news-events/events-calendar/made-usa-ftc-workshop>.

²⁹ Office of the Federal Register, National Archives and Records Administration, “Telemarketing Sales Rule,” *Federal Register* 60, no. 30 (February 14, 1995): 8313–33 (original proposal); and “Telemarketing Sales Rule,” *Federal Register* 60, no. 110 (June 8, 1995): 30406–28 (revised proposal).

³⁰ Request for Public Comment, 16 CFR Part 465 (Fed. Trade Comm’n Nov. 8, 2022).

B. Guides Versus Rulemaking

There is a natural tension between general marketing tactics (such as the use of customer reviews, which can apply in myriad industries) and the effectiveness of a trade regulation rule. If the FTC concludes that the issues surrounding fake reviews are not industry-specific, that alone argues for an approach that is as flexible as possible. Guides serve that purpose, which is precisely why ANA supports the FTC's Guides and provided extensive comments in the revision process. In contrast, a trade regulation rule does not create a flexible scheme. To the contrary, a trade regulation rule is normally designed to be precise and prescriptive. The very concerns that ANA has expressed in this comment point to the way in which a rule will set a regulatory bar that is inflexible and ill-suited to a marketing tactic that is ubiquitous and multifaceted with vast variations across industries. Traditional unfair, deceptive or abusive act or practice principles that are flexible such as those embodied in section 5 are best suited to address a marketing phenomenon as multidimensional as customer reviews.

For the reasons set forth above, ANA urges the Commission to consider alternate approaches instead of engaging in the rulemaking process as it pertains to consumer reviews.

Respectfully submitted,

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